**Revision Date:**
11/01/2020

**Background:**
Share of Cost (SOC) amounts are determined by a household's size, countable income, and Maintenance Need Levels.

**Purpose:**
This section includes information on how the SOC is determined for Non-MAGI Medi-Cal cases. Though the CalWIN system determines the SOC automatically in most cases, manual budget forms are available to calculate this information outside of the automated system when necessary.

In addition to a sunset review and reformat, information on out-of-pocket expenses for personal services was moved to this section.

**Policy:**
**Determining the Share of Cost**
Non-Long-term Care (LTC) Households
The net non-exempt income that is available to the family members is established once all appropriate income deductions (MPG 10.6) are applied. The household's maintenance need is subtracted from the net non-exempt income and the remainder, if any, is the SOC.

LTC Households
The net non-exempt income is established once all appropriate income deductions and allocations to family members are applied (MPG 10.2 & 10.3). The LTC individual's maintenance need ($35) is subtracted from the net non-exempt income and the remainder is the SOC.

**Changes Which Decrease the SOC**
When a change in income or circumstances is reported that will decrease the SOC, enter the change in the system for the future month.

**Changes Which Increase the SOC**
When a change in income or circumstances is reported that will increase the SOC, enter the change for the future month if a 10-day notice can be given. If 10-day notice cannot be given, enter the change in the month following the future month.

When a change that will increase the SOC is not reported timely by the customer, evaluate for a Medi-Cal overpayment (MC Processing Guide 18).

**Hunt V. Kizer - Usage of Medical Bills or Out-of-Pocket Personal Care Expenses to Reduce SOC**
Beneficiaries who are eligible for Medi-Cal with a SOC (except for State only aid codes 53 and 81) can use current or prior medical bills/expenses to reduce their SOC. This includes individuals who are receiving In-Home Supportive Services (IHSS).

Medical Bills – Criteria for Use

A medical bill must meet the following criteria before it can be applied toward the SOC. All criteria (1-6) apply to UNPAID OLD medical bills/expenses. Items 3-6 apply to CURRENT medical bills.

1. An old medical bill must be unpaid at some time within the month of the bill's submission. Consider this requirement satisfied when the bill's date of issuance falls within 90 days of submission unless, the beneficiary indicates, or there is reason to believe the bill was paid prior to the submission month
2. The old medical bill must be less than four years old as of the date of submission with certain exceptions
3. The portion of an old or current medical bill for which a third party is liable must be first subtracted from the amount billed to the beneficiary
4. The portion of a current or old medical bill that was previously used to meet a Medi-Cal SOC may not be reapplied toward the SOC
5. The current or old medical bill must be an original, an authenticated copy, or an acceptable substitute
6. The current or old medical bill must satisfy the list of verification requirements listed below

Medical Bills – Verification Requirements

These verifications apply to current and old medical bills except where noted. Medical bills must include:

1. The name and address of the provider who provided the service
2. The name of the person who received the medical service
3. A brief description of the medical service received
4. A "Procedure Code" (a medical reference number)
5. The provider's Medi-Cal Provider Identification Number or Provider License Number
6. The date(s) the medical service was provided
7. The date on which the bill was issued. If the bill is an unpaid, old medical bill, the billing date must be within 90 days of the date the bill is received by the county
8. The amount owed solely by the individual and not subject to third party coverage

Out-of-Pocket Personal Care Expenses

Personal care expenses, related equipment, supplies or drugs must meet the following criteria before they can be applied toward the SOC:

1. Prescribed by a physician or nurse case manager or included as part of an IHSS Assessment of Need as necessary to treat a medical condition
2. Must be customarily considered by the medical profession as primarily for health care and medical treatment
3. Must be intended for and will be used solely for the health care and medical treatment of the individual

**Procedure:**

For instructions on completing the CalWIN entries for medical bills/expenses under Hunt V. Kizer, see **How To 408**.

**Impacts:**
Notices of Action
MC 352 HK - Approval Hunt V. Kizer
MC 353 HK - Denial Hunt V. Kizer

**References:**
ACWDLs 93-63 and 15-02
MEPM 10R

**Sunset Date:**
This policy will be reviewed for continuance by 11/30/2023

**Approval for Release:**

11-9-20

Rick Wanne, Director
Eligibility Operations